

federal income tax bracket, and if you live in an area where you're required to pay state and city income taxes, by those tax brackets as well. (To figure out your tax bracket, see Chapter 9.)

Here's why taxes matter. Say you're considering investing in a corporate money fund that pays 5%. Assuming that there's no state or city income tax where you live and that you're in the 25% federal tax bracket, 25% of that 5%, or 1.25%, will go to Uncle Sam, leaving you with an after-tax yield of only 3.75%. So you'd need to earn more than 3.75% from a tax-exempt money fund in order to beat the return you'd get on the taxable fund. In this case, a tax-exempt fund paying 4%, for example, would be a better deal for you than the 5% taxable fund. Since the yields on money market funds fluctuate, you should repeat this comparison every year. If you discover at some point that you'd be better off investing in, say, a taxable fund instead of a tax-exempt fund, it's easy to transfer your money from one to the other.

If you're subject to state and/or city income tax, do the above calculation using your combined federal, state, and local tax rate. You can then decide whether a double or triple tax-exempt money fund would give you enough additional after-tax yield to make it worth taking a bit more risk. This is probably much more than you'll ever need (or want) to know. Still, it's here for reference when you need it.

Where to Find a Money Market Fund

Because money funds hardly ever lose money, some people ignore all these details and simply go for a money fund that offers them the best after-tax yields. To find lists of the highest interest rates currently being offered on money market funds, check out bankrate.com, imoney.net, and cranedata.us. If you're a one-stop shopper, you might want to get your money fund where you will eventually do other types of mutual fund investing. (For recommendations on specific mutual fund companies that might satisfy all your fund needs, see the section "Deciding Where to Buy Your Mutual Funds" later in this chapter.)

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